

about 70 percent correlated with stocks. Why are most hedge funds so skewed toward strategies that do well in good times? I think it is human nature for people to choose strategies that worked well during the recent past, which implies a long bias.

What is your big picture perspective of the current difficult economic situation facing the U.S.?

Currently, we have a situation where there is a broad global deleveraging, which is negative for growth. Debtor countries that can print money will behave differently from those that can't. Countries that can't print money will experience classic deflationary depressions. Those that can print money, such as the United States, can alleviate the deflation and depression pressures by printing money. However, the effectiveness of quantitative easing will be limited because the owners of the bonds that are purchased by the Fed will use the money to buy something similar; they are not going to use it to buy a house or a car. In addition, fiscal stimulus will be very limited because of the reality of the political situation. So it is unlikely that we will have effective monetary policy or effective fiscal policy. That means we will be dependent on income growth, and income growth will be slow—maybe about 2 percent per year—because income growth is usually dependent on debt growth to finance buying, and I don't expect any significant private credit growth. A growth rate of 2 percent is not sufficient to meaningfully lower the unemployment rate. There is a risk that if the economy deteriorates, we won't have any effective tools for reversing the situation. The current situation is analogous to being in a recession and not being able to lower interest rates.

If you had the power to enact policy, is there any policy that could ameliorate the current situation?

The best policy would be to spread out the problems over a long period of time so that nominal interest rates stay below nominal growth rates.

How do you do that?

You do it through a combination of monetary and fiscal policies that produce enough government spending to make up for the reduction in private sector spending to keep the economy from contracting. Avoiding